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WASHINGTON PREMIER HOMEOWNERS POLICY

AGREEMENT

In return for payment of the premium, we agree to insure **you** subject to all terms, conditions, exclusions and limitations of this policy. The policy consists of the **Declarations**, this policy contract, and all endorsements added to this policy. "We," "us" and "our" refer to PEMCO Mutual Insurance Company.

DEFINITIONS

The following terms are defined for use throughout the policy and have the same meaning whether in singular, plural, possessive, or any other form. In this policy:

1. **Actual Cash Value:**

- a. When the damage to property is economically repairable, **actual cash value** means the cost of materials and labor necessary to repair the damage, less reasonable deduction for pre-loss depreciation of the damaged property.
- b. When the damage to property is not economically repairable, or theft or disappearance prevents repair, **actual cash value** means the market value of property in a used condition equal to that of the lost or damaged property, if reasonably available on the used market.
- c. Otherwise, **actual cash value** means the market value of new, identical or nearly identical property less reasonable deduction for pre-loss depreciation of the lost or damaged property.

Deduction for pre-loss depreciation may include one or more of the following factors: age, condition such as wear and tear and deterioration, reduction in useful life, and obsolescence. Absent information otherwise, condition will be deemed as average.

- 2. **Aircraft** means any contrivance, of any size, weight, or materials, used or designed for flight or hovering, including any related parts, equipment and accessories, whether or not attached to a specific **aircraft**. **Aircraft** includes, without limitation, jetpacks, flyboards, hovercraft and any similar devices.
- 3. **Bodily Injury** means bodily harm, sickness or disease, except a disease which is transmitted by an **insured** through sexual contact. **Bodily injury** includes required care, loss of services and death resulting from covered bodily harm, sickness or disease. **Bodily injury** does not include **personal injury**.
- 4. **Building** means a structure designed for people or vehicles to enter that is fully enclosed by permanent rigid exterior walls and a roof, with windows and doors as needed. It includes:
 - a. The foundation supporting the structure, whether slabs, walls or footings;
 - b. Basement walls and crawlspace walls;
 - c. Fixtures and decks attached to the structure; and
 - d. Fill material located not more than 12 inches directly below a slab foundation supporting the structure.
- 5. **Business** means:
 - a. A trade, profession or occupation engaged in on a full-time, part time or occasional basis;

- b. **Homesharing**; or
- c. Any other activity or agreement that results in receipt of \$2,000 or more in gross revenue or other compensation during the 12-month period prior to the date of loss. It doesn't matter whether the activity or agreement is regular or intermittent, or is a primary, secondary or supplemental source of compensation.

Business doesn't include:

- a. Volunteer activities for which only expenses are reimbursed;
 - b. The rendering of home daycare services by an **insured** to a relative of an **insured**;
 - c. The mutual exchange of home daycare services; or
 - d. **Long-term rentals**.
6. **Declarations** means the document showing **your** coverages, limits, **residence premises**, premiums, endorsements, and other information for this policy.
7. **Diminution in Value** means any actual or perceived loss in market or resale value to any property resulting from physical damage or loss to that property, or from repair, replacement or resurfacing of that property.
8. **Domestic Abuse** means:
- a. Physical harm, **bodily injury** or assault, or the infliction of fear of imminent physical harm, **bodily injury** or assault, between family or household members;
 - b. Sexual assault of one family or household member by another;
 - c. Stalking, as defined in RCW 9A.46.110 of one family or household member by another family or household member; or
 - d. Intentionally, knowingly or recklessly causing damage to property so as to intimidate or attempt to control the behavior of another family or household member.
9. **Dwelling** means the **building** on the **residence premises** used as **your** primary residence.
10. **Fungus** means any type or form of fungi, including but not limited to yeast, mold or mildew, mushroom, and any mycotoxins, spores, scents, byproducts or other substances produced or released by fungi.
11. **Homesharing** means the rental or holding for rental of the **residence premises**, in whole or in part, by an **insured** for use by a **homesharing guest** and arranged through use of a **homesharing network**.
12. **Homesharing Guest** means a person other than an **insured**, who:
- a. Enters into an agreement with an **insured** in exchange for **homesharing** services through use of a **homesharing network**; or
 - b. Occupies or stays at the **residence premises** in connection with an agreement entered into by a person described in subparagraph a. of this definition.
13. **Homesharing Network** means a website, web-based application or mobile application, not owned or operated in whole or in part by an **insured**, that processes a rental agreement between a **homesharing guest** and **you**, secures a reservation for rental, and transacts payment of the rental fee to **you**.
14. **Insured** means:
- a. **You** and residents of **your** household who are:
 - (1) **Your** relatives; or
 - (2) Other persons under the age of 21 and in the care of any person named above;

- b. A student enrolled in school full-time, as defined by the school, who was a resident of **your** household before moving out to attend school, provided the student is:
 - (1) under the age of 24 and **your** relative; or
 - (2) under the age of 21 and in the care of **you** or a resident of **your** household who is **your** relative.
- c. Under Section II:
 - (1) With respect to animals or **watercraft** to which this policy applies, any person or organization legally responsible for these animals or **watercraft** which are owned by **you** or any person included in **14.a.** or **14.b.** above. A person or organization using or having custody of these animals or **watercraft** in the course of any **business** or without consent of the owner is not an **insured**.
 - (2) With respect to any **motor vehicle** to which this policy applies:
 - (a) Persons while engaged in **your** employ or in the employ of any person included in **14.a.** or **14.b.** above; or
 - (b) Other persons using the **motor vehicle** on an **insured location** with **your** consent.

15. Insured Location means:

- a. The **residence premises**;
- b. The part of other premises, other structures and grounds used by **you** as a residence and:
 - (1) Which is shown in the **Declarations**; or
 - (2) Which is acquired by **you** during the policy period for **your** use as a residence;
- c. Any premises not owned by **you** which **you** are using with permission in connection with a premises in **15.a.** or **15.b.** above;
- d. Any part of a premises:
 - (1) Not owned by an **insured**; and
 - (2) Where an **insured** is temporarily residing;
- e. Vacant land, other than farm land, owned by or rented to an **insured**;
- f. Land owned by or rented to an **insured** on which a one, two, three or four-family **dwelling** is being built as a residence for an **insured**;
- g. Individual or family cemetery plots or burial vaults of an **insured**; or
- h. Any part of a premises occasionally rented to an **insured** for other than **business** use.

16. Long-Term Rental means the rental of a portion of the **dwelling** to one or two persons, or one household of persons, other than an **insured**, as roomers or boarders for a term of six months or more, for exclusive use as a full-time residence. **You** must continue to reside in the **dwelling** during the rental.

17. Motor Vehicle means any self-propelled land conveyance other than electric-powered and electric-assisted conveyances that cease powering, or are incapable of providing assistance, when reaching the speed of 20 miles per hour, including electric-assisted and electric-powered bicycles, hoverboards, scooters, and skateboards. For Section II - Liability and Medical Coverages, **motor vehicle** also means any trailer or semitrailer which is being carried on, towed by or hitched for towing to a self-propelled land conveyance.

18. Occurrence means:

- a. an accident, including continuous or repeated exposure to substantially the same general or related harmful conditions, which results, during the policy period, in:
 - (1) **Bodily injury**; or
 - (2) **Property damage**.

- b. conduct, including continuous, repeated or comparable statements or acts made regarding one or more persons or entities, which results, during the policy period, in **personal injury**.

19. Personal Injury means injury to a person or entity, other than **bodily injury**, arising out of one or more of the following offenses:

- a. False arrest, detention or imprisonment;
- b. Malicious prosecution;
- c. The wrongful eviction from, wrongful entry into, or invasion of the right of private occupancy of a room, **dwelling** or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor;
- d. Libel, slander or defamation of a person or organization; or
- e. Oral or written publication that violates a person's right to privacy.

Personal injury does not include any of the above offenses if the injury arises out of or is committed in connection with **sexual misconduct**, whether claimed as an isolated incident or as a pattern or practice of behavior by or against one or more persons; whether claimed separately or in combination with any other intentional or negligent acts or omissions of any person; and whether claimed against a person as perpetrator or as one who enabled or failed to stop, prevent or report such misconduct.

20. Pollutants means any solid, semi-solid, liquid, gaseous or thermal irritant or contaminant, including, without limitation, smoke, vapor, soot, fumes, acids, alkalis, chemicals, and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

21. Property Damage means direct physical damage to or destruction of tangible property, including the resulting loss of use of the damaged or destroyed property.

22. Replacement Cost:

- a. In case of loss or damage to **buildings**, **replacement cost** means the cost, at the time of loss, to repair or replace physically damaged property with new materials of like kind and quality, without deduction for depreciation. When like kind and quality material is no longer manufactured or is not available, **replacement cost** means the cost of new material similar to the material damaged or destroyed and which is of comparable quality and usefulness, without deduction for depreciation.
- b. In case of loss or damage to personal property, **replacement cost** means the cost, at the time of loss, of a new article identical to the one damaged, destroyed or stolen. When the identical article is no longer manufactured or is not available, **replacement cost** means the cost of a new article similar to the one damaged or destroyed and which is of comparable quality and usefulness, without deduction for depreciation.

23. Residence Employee means:

- a. An employee of an **insured** whose duties are related to the maintenance or use of the **residence premises**, including household or domestic services; or
- b. One who performs similar duties elsewhere not related to the **business** of an **insured**.

24. Residence Premises means:

- a. The one-family **dwelling** where **you** reside;
- b. The two-, three- or four-family **dwelling** where **you** reside in at least one of the family units; or
- c. That part of any other **building** where **you** reside;

and which is shown as the **residence premises** in the **Declarations**.

Residence premises also includes the other structures and grounds at that location.

- 25. Sexual Misconduct** means actual, threatened or alleged sexual molestation, sexual harassment or any other unwanted or wrongful sexual advance, including attendant corporal punishment and physical or mental abuse, committed by any person, regardless of whether that person is an **insured**. **Sexual misconduct** includes allowing, abetting, tolerating, failing to detect, stop or prevent, failing to report, or otherwise enabling or negligently supervising such conduct.
- 26. Small Aircraft** means an **aircraft** weighing 10 pounds or less when airborne, including the weight of any cargo it is carrying. This includes, without limitation, drones and model or hobby airplanes meeting these requirements.
- 27. Utility Line** means a pipe, wire, cable or similar conduit, on the **residence premises**, used for carrying fresh water, waste water, sewage, electricity, natural gas or electronic communications, whether above ground or below ground, that **you** own or are responsible for maintaining.
- 28. Watercraft** means a vessel or amphibious vehicle designed to transport persons or property over or under water.
- 29. You** and **your** refer to:
- the named **insured** shown in the **Declarations**; and
 - that person's spouse or registered domestic partner, if a resident of the same household at the time of the accident or loss.

SECTION I – PROPERTY COVERAGES

COVERED PROPERTY

COVERAGE A – DWELLING

We cover:

- The **dwelling** shown in the **Declarations**;
- Structures, including structures connected by a breezeway, and fixtures, including solar panels, permanently attached directly to the **dwelling** and not described as an Other Structure in Coverage **B** below;
- Utility lines** servicing the **dwelling**; and
- Materials and supplies located on or next to the **residence premises** used to construct, alter or repair the **dwelling** or other structures on the **residence premises**.

COVERAGE B – OTHER STRUCTURES

We cover:

- Other structures on the **residence premises** set apart from the **dwelling** by clear space or expansion joint. Structures connected to the **dwelling** by only a fence, **utility line**, or similar connection are considered to be other structures. A structure connected by a breezeway is not considered a similar connection;
- Fences and **utility lines** on the **residence premises**, except for **utility lines** servicing the **dwelling**; and
- Driveways, sidewalks and similar walkways, docks, piers, retaining walls, decorative walls, privacy walls and patios made of concrete, stone pavers, brick or similar materials on the **residence premises**.

We do not cover other structures:

1. Used in whole or part for **business** unless such use is as a remote office for work conducted exclusively by computers or phones and only for activities that are:
 - a. duties of the **insured's** employment by another; and
 - b. performed solely by the **insured**; or
2. Rented or held for rental to any person not a tenant of the **dwelling**, unless used solely as a private garage.

Our limit of liability for Covered Loss under Coverage **B** is shown on the **Declarations**. Use of this coverage does not reduce the Coverage **A** limit of liability.

COVERAGE C – PERSONAL PROPERTY

We cover:

1. Personal property owned or used by an **insured** while it is anywhere in the world.
2. After a loss, at **your** request, personal property, not excluded elsewhere in this policy, owned by:
 - a. Others while the property is on the part of the **residence premises** occupied by an **insured**; or
 - b. A guest or a **residence employee**, while the property is in any residence occupied by an **insured**.

Our limit of liability for personal property usually located at an **insured's** residence other than the **residence premises**, or located in a storage facility, is up to 10% of the limit of liability for Coverage **C**. This limitation does not apply to personal property:

- a. Moved from the **residence premises** because the premises is being repaired, renovated or rebuilt and is not fit to live in or store property in; or
- b. In a newly acquired principal residence for 30 days from the time **you** begin to move the property there.

Special Limits of Liability. The special limit for each numbered category below is the total limit of our liability for any Covered Loss for all covered personal property in that category, after application of deductible to the entire loss. These limits are included within and do not increase the Coverage **C** limit of liability. Loss or damage to more than one item in a category arising from the same cause or event is considered one Covered Loss. Duplicate recovery under more than one category for the same item of property or element of loss is not permitted.

1. \$200 on money, bank notes, bullion, gold other than goldware, silver other than silverware, platinum other than platinumware, scrip, stored value cards, smart cards, and digital or crypto currency.
2. \$1,500 on securities, accounts, deeds, evidences of debt, letters of credit, notes other than bank notes, manuscripts, personal records, passports and tickets. This dollar limit applies to these categories regardless of the medium (such as paper or computer software) on which the material exists. This limit includes the cost to research, replace or restore the information from the lost or damaged material.
3. \$1,500 on **watercraft**, including their trailers, furnishings, equipment and outboard engines or motors.
4. \$1,500 on trailers not used or designed for use with **watercraft**.

5. \$5,000 for loss by theft, misplacing or losing of jewelry, watches, furs, precious and semi-precious stones; but not more than \$2,500 for any one article.
6. \$2,500 for loss by theft, misplacing or losing of firearms, including related equipment and accessories.
7. \$7,500 for loss by theft, misplacing or losing of silverware, silver-plated ware, goldware, gold-plated ware, platinumware, platinum-plated ware, and pewterware. This includes without limitation flatware, hollowware, tea sets, trays and trophies made of or including silver, gold, platinum or pewter.
8. \$5,000 on personal property, on the **residence premises**, used for any **business** purpose during the 12-month period prior to the date of loss. This special limit does not apply to computers, printers, cameras and telephones owned by an **insured** which are designed to be used, and which are in fact used, interchangeably for personal and **business** purposes by an **insured**.
9. \$1,000 on personal property, away from the **residence premises**, used for any **business** purpose during the 12-month period prior to the date of loss. This special limit does not apply to computers, printers, cameras and telephones which are owned by an **insured** and used interchangeably by that **insured** for both personal and **business** purposes.
10. \$500 for loss of marijuana in any form. No additional coverages apply.
11. \$500 for **small aircraft**, including any related equipment and accessories, whether or not attached, and any cargo being carried aboard at the time of loss.
12. \$3,000 on rare coins or currency, medals, stamps, trading cards, comic books and magazines, including any of these that are part of a collection.

PROPERTY NOT COVERED

The following property is not Covered Property under this policy:

1. Land, including land supporting any Covered Property, and including any costs required to replace, rebuild, stabilize, or otherwise restore land or prevent future instability to any property, whether or not Covered Property, except as provided in Section I, Additional Coverages – Land Stability.
2. Trees, shrubs, plants or lawns, except as provided in Section I, Additional Coverages – Trees, Shrubs and Other Plants.
3. Systems and equipment used to generate electrical power exceeding 125 percent of the actual electrical power usage by the **residence premises** in the 12-month period prior to the date of loss.
4. Articles separately described and specifically insured by this or other insurance.
5. Animals of any kind.
6. **Motor vehicles**, including their equipment, parts and accessories while in or on the vehicle. We do not cover any electronic equipment, including accessories and antennas, designed to be operated solely by power from the electrical system of a **motor vehicle**, while such equipment is in or on the vehicle. However, we do cover **motor vehicles**:
 - a. Used solely to service the **residence premises** and not designed or licensed for use on public roads; or
 - b. Designed for the handicapped and not designed or licensed for use on public roads.
7. **Aircraft** other than **small aircraft**.

8. Personal property in any portion of the **residence premises** regularly rented or held for rental to others, except personal property of an **insured** located in that portion of the **dwelling** used as a **long-term rental**.
9. Property rented or held for rental to others and located off the **residence premises**.
10. **Business** data in any form kept or stored in any medium.

However, we do cover the cost of blank recording or storage media, and of pre-recorded computer programs available on the retail market.
11. Credit cards, fund transfer cards, or access devices, except as provided in Section I, Additional Coverages – Credit Card, Electronic Fund Transfer Card or Access Device, Forgery and Counterfeit Money.
12. Data for personal use, including records, recordings, images and photographs, regardless of storage media. This includes songs, movies and other audio or video media downloaded onto a computer or portable electronic media player. However, we do cover the cost of blank recording or storage media, and of prerecorded computer programs available on the retail market.
13. Recording or storage media for electronic data processing that cannot be replaced with other equipment of like kind and quality on the current retail market.
14. Electronic data processing equipment and recording or storage media used with that equipment, when loss is caused by mechanical or machinery breakdown or failure, faulty construction, user's error or omission, or deficiency in design, specifications, material or workmanship.
15. Electronic data processing equipment and recording or storage media used with that equipment, when loss is caused by any change in electronic power supply originating outside the **residence premises**. However, we do cover the cost of blank recording or storage media.
16. Campers, canopies or tonneau covers whether or not attached to a **motor vehicle**.
17. Property of roomers, boarders, renters or tenants other than an **insured**.
18. Grave Markers, including mausoleums, except as provided in Section I, Additional Coverages – Grave Markers.

COVERED LOSSES

We pay for direct physical loss to Covered Property, unless excluded or excepted in this policy.

EXCLUSIONS

We will not pay, under any part of this policy, for any loss caused directly or indirectly by, or consisting of, one or more of the following:

1. Constant or repeated seepage, leakage, or presence of liquid or moisture in any form, including water, sewage, fuel, or any other liquid, condensation, humidity, steam, vapor, or moisture in any other form, which occurs or persists, whether constantly or intermittently, over a period of 14 days or more.

This exclusion applies to seepage, leakage, or presence of liquid or moisture in any form arising from any source or cause whether artificial or natural.

This exclusion applies from the time the seepage, leakage, or presence of liquid or moisture began, regardless of the time of discovery.

This exclusion applies if any part or aspect of any damage resulting from the seepage, leakage, or presence of liquid or moisture in any form was detectable, known, or readily discoverable by any **insured**.

This exclusion does not apply, however, if the seepage, leakage or presence of liquid or moisture, or damage resulting from the seepage, leakage, or presence of liquid or moisture, was completely hidden within walls, floors, ceilings, or behind or under a stationary appliance. For the purposes of this exception, the seepage, leakage or presence of liquid or moisture within attics, basements, cellars, or crawl spaces shall not be considered completely hidden.

2. Freezing of a plumbing, heating, air conditioning, or automatic fire protective sprinkler system or of a household appliance, or discharge, leakage or overflow from within the system or appliance caused by freezing. This exclusion doesn't apply if **you** have used reasonable care to:

- a. Maintain heat in the **building**; or
- b. Shut off the water supply and drain the system and appliances of water.

However, if the **building** is protected by an automatic fire protective sprinkler system, **you** must use reasonable care to continue the water supply and maintain heat in the **building** for coverage to apply.

Roof drains, gutters, downspouts, French drains, yard drains, downspout drain lines and similar fixtures are not considered part of a plumbing system under this policy.

3. Freezing, thawing, pressure or weight of water or ice, whether driven by wind or not, to a:
 - a. Fence, pavement or patio;
 - b. Swimming pool, hot tub or spa, including their filtration and circulation systems;
 - c. Footing, foundation, retaining wall, decorative or privacy wall or bulkhead; or
 - d. Pier, wharf or dock.
4. Vandalism and malicious mischief, if the **dwelling** has been vacant for more than 60 consecutive days immediately before the loss. A **dwelling** is not considered vacant during initial construction.
5. Theft from a **dwelling** under initial construction, or of materials and supplies for use in the initial construction, until the **dwelling** is finished and occupied.
6. Wear and tear, scratching, marring or deterioration.
7. Inherent vice, latent defect or mechanical breakdown.
8. Smog, rust, electrolysis or other corrosion.
9. Smoke from agricultural smudging or industrial operations.
10. Discharge, dispersal, seepage, leakage, migration, release or escape of **pollutants** unless the discharge, dispersal, seepage, leakage, migration, release or escape is itself caused by: fire; lightning; explosion other than volcanic explosion; windstorm or hail; collision with an **aircraft**, **small aircraft** or vehicle; riot or civil commotion; or leakage from fire-extinguishing equipment.
11. Settling, shrinking, bulging or expansion, including resultant cracking of pavements, patios, foundations, footings, bulkheads, walls, floors, roofs or ceilings.
12. Burrowing, nesting, infestation, gnawing, or any excretions or secretions caused by one or more animals. For purposes of this exclusion, animals include insects and arachnids.

This exclusion does not apply to the breakage of glass or safety glazing materials caused by birds, and similar damage caused by sudden impact or action of undomesticated mammals or birds.

13. Animals of any kind owned or kept by an **insured.**

14. Pressure from, presence or intrusion of, tree, shrub or plant roots.

Exclusions **1** through **14** above do not apply to an ensuing loss that is not otherwise excluded or excepted in this policy.

Under items **6** through **14** above, if any of these cause water damage not otherwise excluded, due to water escaping from a plumbing, heating, air conditioning or automatic fire protective sprinkler system or household appliance, we'll pay the cost of tearing out and replacing that part of the **building** on the **residence premises** necessary to reach the source of discharge or overflow. We do not cover the cost to repair or replace a system or appliance from which water or steam has escaped, even if the ensuing loss is covered.

15. Acts or Decisions, including the failure to act or decide, of any person, group, organization or governmental body. However, this exclusion doesn't apply to any ensuing loss not otherwise excluded or excepted in this policy.

16. Collapse, meaning actual or impending collapse of a structure or part of a structure, or any condition or event that could lead to such a state, except as provided in Section **I**, Additional Coverages – Collapse.

17. Controlled Substances, meaning the use, sale, manufacture, delivery, transfer or possession by, or with the knowledge of, any **insured** of a Controlled Substance(s) as defined by the Federal Food and Drug Law at 21 U.S.C.A. Sections 811 and 812. Controlled Substances include but are not limited to cocaine, LSD, marijuana and all narcotic drugs. However, this exclusion does not apply to the legitimate use of prescription drugs by a person following the order of a licensed health care professional, or the legal use of marijuana.

18. Criminal or Illegal Activity, meaning a criminal or illegal act performed by or abetted by any **insured** that results in damage to property. This exclusion applies whether or not an **insured** is actually charged with, or convicted of, a crime.

19. Diminution in Value.

20. Earth Movement

Any sinking, rising, shifting, expansion, contraction or other movement of earth, including without limitation: earthquake; volcanic eruption; land shock waves or tremors before, during or after an earthquake or volcanic eruption; lava flow; lahar; landslide, mudslide or mudflow; avalanche; subsidence or sinkhole; erosion; pressure by surface or subsurface earth or fill; asteroid or meteorite strike; or movement of earth from excavation, natural resource extraction activities, or improper compaction.

This exclusion applies whether the earth movement is caused by human activity, the failure of a manmade structure, or natural forces, including animal activity.

This exclusion applies whether or not the earth movement is combined with water.

This exclusion does not apply, however, to loss or damage to Covered Property caused directly by fire, or caused by theft when **you** are unable to secure the **residence premises** as a direct result of earth movement.

21. Existing Damage, meaning damage which began before policy inception, whether the damage was apparent at inception or discovered after inception.

22. Faulty, Inadequate or Defective:

- a. Planning, zoning, development, surveying or siting;
- b. Design, specifications, workmanship, repair, construction, renovation, remodeling, grading or compaction;
- c. Materials used in repair, construction, renovation or remodeling; or
- d. Maintenance;

of part or all of any property whether on or off the **residence premises**.

However, this exclusion does not apply to any ensuing loss not otherwise excluded or excepted in this policy.

23. Fungus, Rot, Biohazards and Pathogens, meaning the presence, growth, proliferation, dispersal, spread, residue, or any other activity or condition of **fungus**; wet or dry rot; biohazards; or viruses, bacteria, parasites, microbial toxins, micro-organisms and other pathogens capable of inducing illness or disease. Biohazard includes a decomposing human body and the human remains of suicide and murder. This exclusion does not apply when such **fungus**, rot, biohazards or pathogens result from fire or lightning.

24. Government Action, meaning damage, destruction, or taking of any real or personal property by order of any governmental or public authority, other than action taken to prevent the spread of fire at the time of a covered fire loss.

25. Homesharing activity, meaning any loss arising out of or in connection with **homesharing**.

26. Insanity, meaning an act or omission committed by an **insured** while insane or while lacking the mental capacity to control their conduct or while unable to form an intent to cause loss. This exclusion applies only if a reasonable person would have expected a loss to result from the act or omission.

27. Intentional Loss.

- a. We do not provide coverage for any loss arising out of any act committed by or at the direction of an **insured** with the intent to cause a loss, or which an **insured** reasonably should have expected to result in a loss.
- b. However, this exclusion, and the Criminal or Illegal Activity exclusion in Section **I**, and the Concealment or Fraud Condition in Section **I** and **II** – Conditions, will not apply to deny an **insured's** claim for otherwise Covered Loss if such loss is caused by an act of **domestic abuse** by another **insured** under the policy, and the **insured** making the claim:
 - (1) Files a police report and cooperates with any law enforcement investigation relating to the act of **domestic abuse**; and
 - (2) Did not cooperate in or contribute to the creation of the loss.
- c. If we pay a claim pursuant to Paragraph **27.b.**, our payment to the **insured** is limited to that **insured's** insurable interest in the property less any payments we first made to a mortgagee or other party with a legal secured interest in the property. In no event will we pay more than the applicable limit of liability.

28. Neglect, meaning:

- a. **Your** neglect to properly address or repair a visible or audible condition developing over the course of weeks, months or years on the **residence premises** that **you** knew or reasonably should have known was likely to lead to loss if not corrected;
- b. **Your** neglect to obtain or comply with the terms of required building permits governing design, construction, upgrade or repair of property on the **residence premises**; or

- c. Neglect of any **insured** to use all reasonable means to save and preserve property at and after the time of a loss.

29. Nuclear Hazard, to the extent set forth in the Nuclear Hazard Clause of Section **I** – Conditions.

30. Ordinance or Law, meaning enforcement of any ordinance or law:

- a. Requiring or regulating the construction, demolition, remodeling, renovation or repair of property, including removal of any resulting debris, except for coverage provided in Section **I**, Additional Coverages – Ordinance or Law;
- b. The requirements or enforcement of which result in a loss in value to property; or
- c. Requiring any **insured** or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, **pollutants**.

This exclusion applies whether or not the property has been physically damaged.

31. Power Interruption, meaning the failure of electric service if the failure takes place off the **residence premises**, except as provided in Section **I**, Additional Coverages – Refrigerated Products and Section **I**, Additional Coverages – Water Backup or Sump Pump Overflow.

32. Volcano, meaning volcanic eruption, effusion, pyroclastic flow or any similar volcanic activity or explosion, and any resulting lava, gases, debris flow, and earth movement.

33. War, meaning the following and any consequence of any of the following:

- a. Declared or undeclared war, civil war, insurrection, rebellion or revolution;
- b. Warlike act by a military force or military personnel; or
- c. Destruction, seizure or use for a military purpose.

Discharge of a nuclear weapon will be deemed a warlike act even if accidental.

34. Water Damage, meaning damage caused by water and any water-borne material from:

- a. Flood, surface water, tides and tidal water, waves including without limitation tidal wave, seiche, tsunami, overflow of a body of water, or spray from any of these, whether or not driven by wind, including storm surge. For purposes of this paragraph, surface water does not include an accidental release of water on the **residence premises** from a spigot, sprinkler system, rain barrel, hose, swimming pool or hot tub;
- b. Below the surface of the ground, including water and water-borne material which exerts pressure on or seeps or leaks through a **building**, walkway, driveway, foundation, swimming pool or other structure. This exclusion does not apply to accidental release of water from an underground sprinkler system on the **residence premises** before entering a **building** on the **residence premises**;
- c. Escape, overflow or discharge from a dam, levee, seawall or any other boundary or containment system; or
- d. Escape, overflow, or backup from drains, sewers, downspouts, gutters and sump pump systems, except as provided in Section **I**, Additional Coverages – Water Backup and Sump Overflow.

Each exclusion listed in **a.** through **d.** above applies whether the water, water-borne material or water damage at issue arises from human activity, the failure of a manmade structure, or natural forces including animal activity.

This exclusion doesn't apply to direct physical loss to Covered Property by fire or explosion resulting from water damage.

This exclusion doesn't apply to water damage to Coverage **C** Covered Property away from a premises or location owned, rented, occupied or controlled by an **insured**.

35. Weather Conditions. However, this exclusion only applies if weather conditions contribute in any way with a cause or event excluded in Section **I** – Property Coverages, Exclusions.

36. Breakage of eyeglasses, glassware, glass bottles or containers, statuary, marble, bric-a-brac, porcelains and similar fragile articles of personal property other than jewelry, watches, bronzes, cameras and photographic lenses.

However, there is coverage for breakage of this property by:

- a.** Fire or lightning;
- b.** Windstorm or hail;
- c.** Explosion other than volcanic explosion;
- d.** Riot or civil commotion;
- e.** **Aircraft**, vehicles, vandalism and malicious mischief;
- f.** Collapse of a **building** or any part of a **building**, as described in Section **I**, Additional Coverages – Collapse;
- g.** Water damage not otherwise excluded;
- h.** Theft or attempted theft; or
- i.** Sudden and accidental tearing apart, cracking, burning, or bulging of:
 - (1)** A steam or hot water heating system;
 - (2)** An air conditioning or automatic fire protective sprinkler system; or
 - (3)** An appliance for heating water.

37. Loss to personal property due to:

- a.** Dampness of atmosphere or extremes of temperature;
- b.** Refinishing, renovating or repairing property other than watches, jewelry, and furs;
- c.** Collision, other than collision with a land vehicle; or
- d.** Destruction, confiscation or seizure by order of any government or public authority.

COVERAGE D – LOSS OF USE

The limit of liability for Coverage **D** is the most we will pay for any combination of the following coverages as applied to the loss:

1. The Part of the Residence Premises Where You Reside.

If a Covered Loss makes that part of the **residence premises** where **you** reside not fit to live in, we pay, at our option, for **Additional Living Expense** or **Fair Rental Value**. However, if the **residence premises** is not **your** principal place of residence, we will not provide the option under paragraph **b.** below:

- a. Additional Living Expense** means the necessary increase in living expenses incurred by **you** so that **your** household can maintain its normal standard of living, including, at our option, a stay in a hotel or similar lodgings if needed; or
- b. Fair Rental Value** means the fair rental value of that part of the **residence premises** where **you** reside less any expenses that do not continue while the premises is not fit to live in.

Payment under **a.** or **b.** will be for the least of the following: **(i)** the shortest time required to repair or replace the damage; **(ii)** the shortest time required for **your** household to settle elsewhere if **you** permanently relocate; or **(iii)** 24 months. An unreasonable delay in starting or completing repairs does not extend the shortest time required to complete repairs.

2. The Part of the Residence Premises Rented to Others.

If a Covered Loss makes that part of the **residence premises** used for **long-term rental** not fit to live in, we cover **your** actual resulting loss of rental income, less any expenses that don't continue while the premises is not fit to live in.

Payment of lost rent will be for the shortest time required to repair or replace that part of the **residence premises** rented or held for rental, as long as **you** still own that part of the premises, but not to exceed 24 months. An unreasonable delay in starting or completing repairs does not extend the shortest time required to complete repairs.

3. Civil Authority Prohibits Use of Residence Premises.

If a civil authority prohibits use of the **residence premises** as a result of direct damage to neighboring premises by a loss that would be a Covered Loss if it occurred on the **residence premises**, we cover the loss as provided under **1.** or **2.** above for no more than two weeks while use of the premises is prohibited.

The periods of time under **1.**, **2.** and **3.** above are not limited by expiration of this policy.

Loss or Expense Not Covered.

- 1.** We do not cover loss or expense due to cancellation of a lease or agreement.
- 2.** No payment will be made under Coverage **D** due to covered remediation of **fungus**, rot, biohazards, or pathogens other than the amounts paid or payable under Special Limit of Liability for Fungus, Rot, Biohazards and Pathogens.

ADDITIONAL COVERAGES

The following Additional Coverages are subject to all exclusions, conditions, limitations and other provisions of this policy, including Section **I** – Conditions, Deductible, except as provided in the applicable Additional Coverage. The coverage described below is the only coverage provided by this policy for each numbered item:

- 1. Collapse.** We will pay for direct physical loss to Covered Property involving collapse on the **residence premises** of a **building** or any part of a **building**.
 - a.** With respect to this Additional Coverage, collapse means an abrupt falling down or caving in of a **building** or any part of a **building** with the result that the **building** or part of the **building** cannot be used for its current intended purpose.

The meaning of collapse does not include:

 - (1)** A **building** or any part of a **building** that is only in danger of falling down or caving in;
 - (2)** A part of a **building** that is standing even if it has separated from another part of the **building**; or
 - (3)** Cracking, bulging, sagging, bending, leaning, settling, shrinkage, expansion, or similar condition.

- b. The collapse must be directly and immediately caused by one or more of the following:
- (1) Fire, lightning, explosion, **aircraft, motor vehicles**, falling objects, vandalism or malicious mischief;
 - (2) Decay that is completely hidden from view, unless the presence of such decay is known to **you** prior to collapse or results from **your** failure to reasonably maintain the property;
 - (3) Insect or other animal damage that is completely hidden from view, unless the presence of such damage is known to **you** prior to collapse or signs of such damage were ignored by **you** prior to collapse;
 - (4) Weight of contents, equipment, animals or people;
 - (5) Weight of rain, ice or snow which collects on a roof or deck; or
 - (6) Use of defective material or methods in construction, remodeling or renovation if the collapse occurs during the course of the construction, remodeling or renovation.

Loss to an awning, fence, patio, pavement, swimming pool, **utility line**, flue, drain, cesspool, septic tank, foundation, retaining wall, bulkhead, pier, wharf or dock is not included under items (1) through (6) unless the loss is a direct result of the collapse of the **building** or any part of the **building** to which it is attached.

This coverage is included in the limit of liability that applies to the damaged Covered Property.

2. **Credit Card, Debit Card, Electronic Fund Transfer Card or Access Device, Forgery and Counterfeit Money.**

- a. We will pay up to a total of \$1,000 per policy period for:
- (1) The legal obligation of an **insured** to pay because of the theft or unauthorized use of credit cards issued to or registered in an **insured's** name;
 - (2) Loss resulting from theft or unauthorized use of an electronic fund transfer card or access device used for deposit, withdrawal or transfer of funds, issued to or registered in an **insured's** name;
 - (3) Loss to an **insured** caused by forgery or alteration of any check or negotiable instrument;
 - (4) Loss to an **insured** resulting from phishing loss of passwords and user names, ransomware attacks on personal computing devices, and similar online fraud or cybercrime, if reported to the proper authorities or financial institutions within seven days of discovering the attack; or
 - (5) Loss to an **insured** through acceptance in good faith of counterfeit United States or Canadian paper currency.

All loss resulting from a series of acts committed by one or more persons or in which one or more persons are involved or implicated is considered to be one loss. Duplicate recovery under more than one category for the same item of property or element of loss is not permitted.

This coverage is additional insurance. No deductible applies to this coverage.

- b. We do not cover:
- (1) Use of a credit card, debit card, electronic fund transfer card or access device:
 - (a) By a resident of **your** household;
 - (b) By a person who has been entrusted with the card or access device; or
 - (c) If an **insured** has not complied with all terms and conditions under which the cards are issued or devices accessed; or
 - (2) Loss arising out of **business** use or dishonesty of an **insured**.

- c. If the coverage in **2.a.** above applies, the following defense provisions apply:
- (1) We may investigate and settle any claim or suit that we decide is appropriate. Our duty to defend a claim or suit ends when the amount we pay for the loss equals our limit of liability.
 - (2) If a suit is brought against an **insured** for liability for loss described in **2.a.** above, we will provide a defense at our expense by counsel of our choice.
 - (3) We have the option to defend at our expense an **insured** or an **insured's** bank against any suit for the enforcement of payment under the forgery coverage.

3. Debris Removal.

- a. We will pay **your** reasonable expense incurred for removal of debris of Covered Property damaged by a Covered Loss. This expense is included in the limit of liability that applies to the damaged property. If the amount to be paid for the actual damage to the property plus the debris removal expense is more than the limit of liability for the damaged property, an additional 5% of that limit of liability is available for debris removal expense.
- b. We will also pay **your** reasonable expense, up to \$2,000, incurred for the removal from the **residence premises** of **your** tree(s), if felled by windstorm, hail, or weight of ice, snow or sleet, or a neighbor's tree(s), if felled for any reason beyond **your** control, provided the tree:
- (1) Causes a Covered Loss to Coverage **A** or **B** Covered Property on the **residence premises**; or
 - (2) Blocks:
 - (a) A driveway on the **residence premises**, which prevents a vehicle designed mainly for use on public roads from entering or leaving the **residence premises**; or
 - (b) A ramp or other fixture designed to assist a handicapped person to enter or leave the **dwelling**.

The \$2,000 limit is the most we will pay in any one loss regardless of the number of fallen trees. No more than \$500 of this limit will be paid for the removal of any one tree.

This coverage **3.b.** is additional insurance.

4. **Fire Department Service Charge.** We will pay up to \$500 for **your** liability assumed by contract or agreement for fire department charges incurred when the fire department is called to save or protect Covered Property from fire or explosion other than volcanic explosion. We do not cover fire department service charges if the property is located within the limits of the city, municipality or protection district furnishing the fire department response.

This coverage is additional insurance. No deductible applies to this coverage.

5. **Grave Markers.** We will pay up to \$5,000 for grave makers, including mausoleums, on or away from the **residence premises** for loss not excluded or excepted under Section **I** – Property Coverages. This coverage does not increase the limit of liability that applies to the damaged property.
6. **Land Stability.** If a Covered Loss to the **dwelling** results in a loss of stability to land supporting that part of the **dwelling** sustaining the Covered Loss, we will pay up to \$10,000 for incurred repair costs required to replace, rebuild, stabilize or otherwise restore the land necessary to support that part of the **dwelling** sustaining the Covered Loss.

This Additional Coverage applies notwithstanding Section **I** Exclusions and limitations regarding earth movement and land.

This Additional Coverage is included in the limit of liability under Coverage **A**.

- 7. Locks, Keys, and Remote Devices.** We will pay up to \$500 for each loss for the reasonable expenses **you** incur to rekey, replace, recode, program, or reprogram locks on exterior doors, gates, and garage doors to the **dwelling** or other structures located on the **residence premises** when the keys or remote devices used with those doors or gates are stolen in a covered theft loss.

This Additional Coverage only applies when the key or remote device is designed solely for locking, unlocking, opening, or closing doors and gates. No deductible applies to this coverage.

- 8. Loss Assessment.** We will pay up to \$1,000 for **your** share of loss assessment charged during the policy period against **you**, as owner of the **residence premises**, by a corporation or association of property owners. The assessment must be made as a result of direct physical loss to property owned by all members collectively, not otherwise excluded under Section **I** – Covered Losses, Exclusions.

The limit of \$1,000 is the most we will pay with respect to any one loss, regardless of the number of assessments. We will only apply one deductible, per unit, to the total amount of any one loss to the property described above, regardless of the number of assessments.

We do not cover loss assessments charged against **you** or a corporation or association of property owners by any governmental body.

The Policy Period condition, under Section **I** and **II** – Conditions, does not apply to this coverage.

9. Ordinance or Law.

- a. You** may use up to 10% of the limit of liability that applies to Coverage **A** for the increased costs **you** incur due to the enforcement of any ordinance or law which requires or regulates:
- (1)** The construction, demolition, remodeling, renovation or repair of that part of a covered **building** or other structure damaged by a Covered Loss;
 - (2)** The demolition and reconstruction of the undamaged part of a covered **building** or other structure, when that **building** or other structure must be totally demolished because of damage by a Covered Loss to another part of that covered **building** or other structure; or
 - (3)** The remodeling, removal or replacement of the portion of the undamaged part of a covered **building** or other structure necessary to complete the remodeling, repair or replacement of that part of the covered **building** or other structure damaged by a Covered Loss. Inclusion of unrelated work in the same building permit authorizing covered repairs does not, by itself, make such unrelated work necessary to completing the covered repairs.
- b. You** may use all or part of this Additional Coverage to pay for the increased costs **you** are required to incur to remove debris resulting from the construction, demolition, remodeling, renovation, repair or replacement of property as stated in **a.** above.
- c. We do not cover:**
- (1)** The loss in value to any covered **building** or other structure due to the requirements of, or compliance with, any ordinance or law;
 - (2)** The costs to comply with ordinances or laws unrelated to covered work described in **a.(1)** through **a.(3)** above; or
 - (3)** The costs to comply with any ordinance or law which requires any **insured** or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, **pollutants** on any covered **building** or other structure.

This coverage is additional insurance.

10. Refrigerated Products. For loss resulting from at least 72 hours of continuous power or mechanical failure, we will pay up to \$500 for the contents of a deep freeze or refrigerated unit located on the **residence premises**. If power failure or mechanical failure is known to **you**, all reasonable means must be used to protect the insured property from further damage. Otherwise, this coverage is void. Power failure or mechanical failure does not include power loss caused by:

- a. Removing a plug from an electrical outlet; or
- b. Turning off an electrical switch unless caused by a Covered Loss.

The Power Interruption exclusion in Section **I** does not apply to this Additional Coverage.

11. Temporary Repairs. If Covered Property is damaged by a Covered Loss, we will pay the reasonable cost incurred by **you** for emergency repairs or other necessary measures taken solely to protect against further damage. This includes up to \$5,000 for reasonable cost incurred by **you** if needed to secure the perimeter of a damaged **building** on the **residence premises** against theft or vandalism of Covered Property following a Covered Loss.

If the measures taken involve repair to other damaged property, we will pay for those measures only if that property is covered under this policy and the damage to that property is caused by an applicable Covered Loss.

This coverage:

- a. Is included in the limit of liability that applies to the Covered Property; and
- b. Does not relieve **you** of **your** Duties After Loss as set forth in Section **I** – Conditions.

12. Trees, Shrubs and Other Plants. We will pay for accidental direct physical loss to outdoor trees, shrubs, plants or lawns on the **residence premises**, including artificial grass or plants, for loss caused by: fire, lightning or explosion other than volcanic explosion; riot or civil commotion; **aircraft**; vehicles not owned or operated by a resident of the **residence premises**; vandalism or malicious mischief; or theft.

We will pay up to 5% of the Coverage **A** limit of liability for all trees, shrubs, plants and lawns to which this Additional Coverage applies. No more than \$500 of this limit will be available for any one tree, shrub or plant. This Additional Coverage does not apply to marijuana or to property grown for **business** purposes.

This coverage is additional insurance.

13. Water Backup and Sump Overflow. We will pay up to \$5,000 for accidental direct physical loss, not caused by the negligence of any **insured**, and not covered elsewhere in this policy, to Covered Property caused by:

- a. Water which backs up through sewers or drains into a **building** located on the **residence premises**; or
- b. Water which overflows from a sump in a **building** on the **residence premises** even if such overflow results from a failure of electric service off the **residence premises** or mechanical breakdown of the sump pump. This coverage does not apply to direct physical loss of the sump pump, or related equipment, caused by mechanical breakdown.

The \$5,000 limit applies regardless of how many related or unrelated conditions or events combine to cause the backup or overflow.

The \$5,000 limit includes amounts paid under Coverage **D** – Loss of Use when applicable to the loss.

This coverage is included in the limits of liability for Coverages **A**, **B**, **C** or **D** stated in the **Declarations**.

We will pay only that part of the loss which exceeds \$250. No other deductible applies to this coverage. This deductible does not apply with respect to Coverage **D** – Loss of Use.

This Additional Coverage does not apply to water which backs up or overflows from a roof drain, gutter, downspout, French drain, yard drain, downspout drain line or similar fixture, whether or not the water enters a **building** on the **residence premises**.

LOSS SETTLEMENT

We will settle Covered Losses to Covered Property under Section **I** according to the following:

- 1. Replacement cost.** Covered Property losses of the following types are settled at **replacement cost**, after application of deductible:
 - a.** Losses under Coverage **C** – Personal Property except as otherwise limited by this policy.
 - b.** Awnings, carpeting, household appliances, outdoor antennas and outdoor equipment, whether or not attached to **buildings**.
 - c.** Losses under Coverages **A** and **B**, without deduction for depreciation, unless otherwise limited by this policy, and subject to the following:
 - (1)** For **buildings**, and for **utility lines** servicing a **building**, we will pay the cost of repair or replacement, without deduction for depreciation, but not exceeding the smallest of the following amounts:
 - (a)** The **replacement cost** of that part of the **building** or **utility line** damaged, for equivalent construction and use on the same premises with new materials of like kind and quality;
 - (b)** The amount actually and necessarily spent to repair or replace the damaged **building** or **utility line**; or
 - (c)** 125% of the applicable limit for Coverage **A** or **B** shown in the **Declarations**.
 - (2)** Structures that are not **buildings** or **utility lines** servicing a **building** are covered for no more than **actual cash value**.
 - d.** When **replacement cost** is owed:
 - (1)** Our liability will not exceed the smallest of the following amounts:
 - (a)** **Replacement cost** of the damaged or lost property;
 - (b)** The full amount actually and necessarily incurred by the **insured** in repairing or replacing damaged or lost property;
 - (c)** The limit of liability that applies to Coverage **C**, if applicable; or
 - (d)** Any applicable special limits of liability stated in this policy; or
 - (e)** For loss to any item separately described and specifically insured in this policy, the limit of liability that applies to the item.
 - (2)** When the cost to repair or replace the damage under Coverage **A** and **B** is more than \$5,000, we will pay no more than the **actual cash value** of the damage until the actual repair or replacement is complete.
 - (3)** When the **replacement cost** for the entire loss under Coverage **C** is more than \$1,500, we will pay no more than the **actual cash value** for the loss or damage until the actual repair or replacement is complete, and then no more than the amount actually and necessarily spent to repair or replace.
- 2. Actual Cash Value.** Any loss to Covered Property not settled at **replacement cost** is settled at **actual cash value**, after application of deductible, but not more than the cost to repair or replace. Losses settled at **actual cash value** include without limitation:

- a. Antiques, fine arts, paintings and similar articles of rarity or antiquity which cannot be replaced;
 - b. Memorabilia, souvenirs, collectors items and similar articles whose age or history contribute to their value;
 - c. Coverage **A** and **B** Covered Property that is not a **building** or a **utility line** servicing a **building**;
 - d. Personal property not owned by an **insured**;
 - e. Property that has not been maintained in good and workable condition; or
 - f. Property that is outdated or is obsolete and is stored or not being used.
3. **You** may disregard the **replacement cost** loss settlement provisions and make claim under this policy for loss or damage to **buildings** or personal property on an **actual cash value** basis, after application of deductible, and still make claim at a later date for any additional liability on a **replacement cost** basis, provided **you** give us notice within 180 days after the date of loss of **your** intent to repair or replace the damaged **buildings** or replace the personal property.
4. **You** must maintain the amount of insurance under this policy on **buildings** and other structures under Coverages **A** and **B** at 100% of the **replacement cost**, as determined by:
- a. our valuation based on accurate and complete information **you** furnish to us; or
 - b. an inspection of the **residence premises** at our request.
5. **You** agree to notify us within 60 days of the start of remodeling or construction of any new **buildings**, additions, or other structural changes that increase the value of the **buildings** and other structures insured under Coverage **A** or **B** by \$5,000 or more, and to pay the additional premium, if any.
6. If, at the time of loss, **you** have not complied with Loss Settlement provisions **4.** and **5.**, above, the amount of insurance shown in the **Declarations** as applying to Coverage **A** or **B** becomes the maximum limit of our liability for damage to all property insured under Coverage **A** or **B**.
7. Refundable deposits or similar amounts paid by us to arrange for temporary living accommodations for **you** or **your** household under Coverage **D** may be subtracted from payments owed under any other coverage of this policy and reimbursed when the deposit amount is recovered by us.
8. In case of loss to a pair or set, we may elect to:
- a. Repair or replace any part to restore the pair or set to its value before the loss; or
 - b. Pay the difference between **actual cash value** of the property before and after the loss.
9. **Diminution in value** is never an element of damage or measure of loss paid under Section **I** of this policy.
10. Duplicate recovery under this policy for the same item of property or element of loss is not permitted.

SPECIAL LIMIT OF LIABILITY FOR FUNGUS, ROT, BIOHAZARDS AND PATHOGENS

Our liability under Section **I** – Property Coverages for damage to Covered Property arising out of, involving, or consisting of:

- a. **fungus**;
- b. wet or dry rot;
- c. biohazards; or
- d. viruses, bacteria, microbial toxins, micro-organisms and other pathogens;

and resulting from a loss covered under Section **I** – Property Coverages, is limited to a maximum of \$10,000.

With respect to this special limit, “damage to Covered Property” means:

- a. direct physical loss to Covered Property;
- b. the cost to remove the **fungus**, rot, biohazard or pathogen from the Covered Property and the **residence premises**;
- c. The cost to tear out and replace any part of the Covered Property in order to gain access to the **fungus**, rot, biohazard or pathogen;
- d. the cost of any testing of air or property to determine the absence, presence or level of **fungus**, rot, biohazard or pathogens; and
- e. Additional Living Expense or loss of Fair Rental Value payable as defined under Coverage **D** – Loss of Use.

“Biohazard” includes a decomposing human body and the human remains of suicide and murder.

This Special Limit of Liability is the most we’ll pay under all Section **I** – Property Coverages for damage to Covered Property because of **fungus**, rot, biohazards and pathogens and is included in the limit of liability that applies to the damaged property.

This Special Limit of Liability does not apply to loss or damage caused by fire or lightning.

SECTION I – CONDITIONS

1. **Abandonment of Property.** We have no liability for and no duty to accept any property abandoned by an **insured**.
2. **Appraisal.** If **you** and we fail to agree on the amount of loss, either may demand an appraisal of the loss. In this event, each party will choose a competent and impartial appraiser within 20 days after receiving a written request from the other. The two appraisers will choose an umpire. If they cannot agree upon an umpire within 15 days, **you** or we may request that the choice be made by a judge of a court of record in the state where the **residence premises** is located. The appraisers will separately set the amount of loss. If the appraisers submit a written report of an agreement to us, the amount agreed upon will be the amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will set the amount of loss.

Each party will pay its own appraiser and pay the other expenses of the appraisal and umpire equally.
3. **Deductible.** Unless otherwise stated in this policy, we will pay only that part of the total of all loss amount payable under Section **I** that exceeds the deductible amount shown in the **Declarations**.
4. **Duties After Loss.** In case of a loss to Covered Property, **you** or an **insured** seeking coverage under this policy must cooperate and promptly perform the following:
 - a. Give prompt notice to us or our agent;
 - b. File a report with the police in case of loss by theft, vandalism or other criminal act;
 - c. Notify the appropriate financial institution in case of loss under Additional Coverage – Credit Card, Electronic Fund Transfer Card or Access Device, Forgery and Counterfeit Money;
 - d. Protect the property from further damage;
 - (1) Make reasonable and necessary repairs to protect the property; and
 - (2) Keep an accurate record of repair expenses;

- e. Prepare an inventory of damaged or stolen personal property showing the quantity, a detailed description, and the age, condition, **replacement cost**, and total amount of the loss. Attach all invoices, receipts and related documents that support the figures in the inventory;
 - f. As often as we reasonably require:
 - (1) Show the damaged property to us and to anyone we select. We have a right to inspect and assess the loss, unimpeded by the actions and omissions of **you** or others. We may require **you** to accompany us when we conduct these activities;
 - (2) Provide us with records and documents we request and permit us to make copies; and
 - (3) Complete examinations under oath, while not in the presence of any other **insured**, and sign the same;
 - g. Send to us, within 60 days after our request, **your** signed, sworn proof of loss which sets forth, to the best of **your** knowledge and belief:
 - (1) The time and cause of loss;
 - (2) The interest of the **insured** and all others in the property involved and all liens on the property;
 - (3) Other insurance, service agreements, guarantees, warranties, self-insurance or similar sources which may apply to the loss;
 - (4) Changes in title or occupancy of the property during the term of the policy;
 - (5) Specifications of damaged **buildings** and detailed repair estimates;
 - (6) The inventory of damaged personal property described in **4.e.** above;
 - (7) Receipts for Additional Living Expenses incurred and records that support Fair Rental Value loss; and
 - (8) Evidence or affidavit that supports a claim under Additional Coverage – Credit Card, Electronic Fund Transfer Card or Access Device, Forgery and Counterfeit Money, stating the amount and cause of loss.
- 5. Insurable Interest.** We won't be liable, in any one loss, to a person or entity for a Covered Loss to Covered Property for more than the amount of that person or entity's insurable interest in the property at the time of loss, or for more than the applicable limit of liability.
- 6. Loss Payment.** We will adjust all losses with **you**. We will pay **you** unless some other person is named in the policy or is legally entitled to receive payment. At our option, we will include in our payment the lienholder or the person or entity doing the work. Loss will be payable 30 days after we receive **your** proof of loss and:
- a. Reach an agreement with **you**;
 - b. There is an entry of a final judgment; or
 - c. There is a filing of an appraisal award with us.
- 7. Mortgage Clause.** Insurance Commissioner's Regulation No. 335/WAC-284-21-010 requires that Form **372 (Ed. 11-50)** or Form **438 BFU (Ed. 5-42)** be endorsed on this policy, if applicable.
- 8. No Benefit to Bailee.** We will not recognize any assignment or grant any coverage that benefits a person or organization holding, storing or moving property for a fee regardless of any other provision of this policy.
- 9. Nuclear Hazard Clause.**
- a. "Nuclear Hazard" means any nuclear reaction, radiation or radioactive contamination, all whether controlled or uncontrolled or however caused, or any consequence of any of these.
 - b. Loss caused by the nuclear hazard will not be considered loss caused by fire, explosion, or smoke.

- c. This policy does not apply under Section I to loss caused directly or indirectly by nuclear hazard, except that direct loss by fire resulting from the nuclear hazard is covered.

10. Other Insurance. If a loss covered by this policy is also covered by:

- a. Other insurance, we will pay only the proportion of the loss that the limit of liability that applies under this policy bears to the total amount of insurance covering the loss; or
- b. A service agreement, host guarantee, self-insured retention or similar provision, this insurance is excess over any amounts payable under any such provision, whether or not the provision is characterized as insurance. Service agreement includes a service plan, property restoration plan, home warranty or other similar service warranty agreement.

11. Our Option. We have the option to repair or replace any part of the damaged property with material or property of like kind and quality. We may also take all or part of the damaged property at the agreed or appraised value.

12. Recovered Property. If **you** or we recover any property for which we have made prior payment under this policy, **you** or we will notify the other of the recovery. At **your** option, the property will be returned to or retained by **you** or it will become our property. If the recovered property is returned to or retained by **you**, we will deduct the amount of our prior payment from subsequent payments owed to **you** or we will require **you** to refund to us the amount of the prior payment.

13. Selection of Policy Limits. With each policy renewal we may increase or decrease **your** coverage limits to reflect changing economic conditions or other factors that may affect the costs of repair or reconstruction of the **dwelling** or other structures at the **residence premises**. Payment of **your** renewal premium constitutes acceptance of the revised coverage limits.

14. Suit Against Us. No action can be brought against us unless the policy provisions have been complied with and the action is started within one year after the date of loss.

SECTION II – LIABILITY AND MEDICAL COVERAGES

COVERAGE E – PERSONAL LIABILITY

If a claim is made or a suit is brought against an **insured** for compensatory damages because of **bodily injury, personal injury or property damage**, caused by an **occurrence** to which this coverage applies, we will:

- 1. Pay up to our limit of liability for compensatory damages for which the **insured** is legally liable, including prejudgment interest on such damages; and
- 2. Provide a defense at our expense by counsel of our choice, even if the suit is groundless, false or fraudulent. We may investigate and settle any claim or suit as we decide is appropriate. Our duty to settle or defend ends when our limit of liability for this coverage has been exhausted by payment of judgments or settlements.

COVERAGE F – MEDICAL PAYMENTS TO OTHERS

We will pay necessary, reasonable and related medical expenses due to **bodily injury** to which this coverage applies if caused by an **occurrence** and if the expenses are incurred within three years after the date of the **occurrence**. Medical expenses means charges for medical, surgical, x-ray, dental, ambulance, hospital, professional nursing, prosthetic devices and funeral services. This coverage does not apply to any **insured**. As to others, including **residence employees**, this coverage applies only:

1. To a person on the **insured location** with the permission of an **insured**; or
2. To a person off the **insured location**, if the **bodily injury** is caused by:
 - a. a condition on the **insured location** or the ways immediately adjoining;
 - b. the activities of an **insured**;
 - c. a **residence employee** in the course of the **residence employee's** employment by an **insured**; or
 - d. an animal to which coverage applies under this policy and that is owned by or in the care of an **insured**.

EXCLUSIONS

1. **Coverage E – Personal Liability** and **Coverage F – Medical Payments to Others** do not apply to **bodily injury, personal injury** or **property damage** arising out of or in connection with one or more of the following:

- a. **Asbestos**, meaning exposure to or the presence of asbestos or any asbestos-like compound.
- b. **Business** activity, including but not limited to:
 - (1) a **business** engaged in by an **insured**;
 - (2) the rental to others of any real or personal property for **business** purposes, on or off the **residence premises**; or
 - (3) the use of any portion of any **insured location** to conduct **business** of any kind or to store, keep, maintain or use **business** property of any kind, except for use as an office, school, studio or private garage on the **residence premises**.

This exclusion applies but is not limited to an act or omission, regardless of its nature or circumstance, involving a service or duty rendered, promised, owed, or implied to be provided because of the nature of the **business**.

- c. **Controlled Substances**, meaning the use, sale, manufacture, delivery, transfer or possession by any person of a Controlled Substance(s) as defined by the Federal Food and Drug Law at 21 U.S.C.A. Sections 811 and 812. Controlled Substances include but are not limited to cocaine, LSD, marijuana and all narcotic drugs. However, this exclusion does not apply to the legitimate use of prescription drugs by a person following the orders of a licensed health care professional.
- d. **Criminal or Illegal Activity**, meaning any criminal or illegal act performed by or abetted by any **insured**, or committed with the knowledge or consent of any **insured**, that results in **bodily injury, personal injury** or **property damage**. This exclusion applies whether or not an **insured** is actually charged with, or convicted of, a crime.
- e. **Expected or Intended Act**, meaning an act or omission which is expected or intended by any **insured** to cause **bodily injury** or **property damage**, or which is the foreseeable result of an act or omission intended by any **insured**, even if the resulting injury or damage is different in kind, quality or degree than initially expected or intended, or is sustained by a different person, entity, or property than initially expected or intended. This exclusion applies even if the **insured** was impaired by drugs or alcohol at the time.

This exclusion doesn't apply to **bodily injury** resulting from the use of reasonable force by an **insured** to protect persons or property.

- f. Fungus, Rot, Biohazards and Pathogens**, meaning:
- (1) the actual, alleged or threatened inhalation of, ingestion of, contact with, exposure to or presence of any:
 - (a) **fungus**;
 - (b) wet or dry rot;
 - (c) biohazard; or
 - (d) virus, bacteria, parasite, microbial toxin, micro-organism or other pathogen;
 at or from any source or location;
 - (2) the transmission or suspected transmission by an **insured** of any virus, bacteria, parasite, microbial toxin, micro-organism, or other pathogen that induces or is capable of inducing illness or disease, including sexually transmitted illness or disease; or
 - (3) the contamination or suspected contamination of any property due to the presence of any virus, bacteria, parasite, microbial toxin, micro-organism or other pathogen that induces or is capable of inducing illness or disease; including sexually transmitted illness or disease.
- g. Insanity**, meaning an act or omission committed by an **insured** while insane or while lacking the mental capacity to control their conduct or while unable to form an intent to cause **bodily injury, personal injury or property damage**. This applies only if a reasonable person would have expected some **bodily injury, personal injury or property damage** to result from the act or omission.
- h. Lead Paint**, meaning lead paint poisoning, contamination or exposure.
- i. Motor Vehicle, Watercraft, Aircraft and Small Aircraft Liability**, meaning an **insured's** ownership, operation, maintenance, use, loading or unloading, or entrustment to others of a **motor vehicle, watercraft, aircraft or small aircraft**, or an **insured's** failure to supervise, or negligent supervision of, another person's use of such conveyance.
- (1) This exclusion doesn't apply to a **motor vehicle** if, at the time of the **occurrence**, the **motor vehicle** is:
 - (a) In dead storage on an **insured location**;
 - (b) Not designed or licensed for use on public roads and used solely to service the **residence premises**;
 - (c) Designed and used exclusively for recreational purposes off public roads and not owned by any **insured**;
 - (d) A motorized wheelchair being used to assist a handicapped person or parked on an **insured location**; or
 - (e) A motorized golf cart owned by an **insured**, not built or modified to exceed a speed of 25 miles per hour, and being used within the legal boundaries of a golf course and its facilities or on adjoining streets and paths.
 - (2) This exclusion doesn't apply to **watercraft** if, at the time of the **occurrence**, the **watercraft** is:
 - (a) Being stored;
 - (b) A sailing vessel less than 26 feet in overall length;
 - (c) Powered by an inboard or inboard-outboard engine or motor of no more than 50 horsepower; or
 - (d) Powered by outboard motors with cumulative power of no more than 25 horsepower.
- j. Physical or Mental Abuse**, meaning an **insured's** improper use or treatment of another person or animal, causing injury or trauma through isolated or repeated bodily contact or through a pattern of verbal aggression, dominant conduct or jealous behavior.

- k. Pollution**, meaning the actual or threatened discharge, dispersal, seepage, migration, release or escape of any **pollutants** into or upon the land, the atmosphere or water. This exclusion also applies to the costs to comply with any ordinance or law which requires any **insured** or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, such **pollutants**. This exclusion does not apply to **bodily injury** or **property damage** caused by heat, smoke or fumes which result from an uncontained fire originating on the **residence premises** or asphyxiation or poisoning due to the escape of fumes from a flue or furnace as a result of a malfunction of the flue or furnace on the **residence premises**.
- l. Premises Not an Insured Location**, meaning a premises which is owned by or rented to an **insured**, or rented to others by an **insured**, that is not an **insured location**. This exclusion does not apply to **bodily injury** to a **residence employee** arising out of and in the course of the **residence employee's** employment by an **insured**.
- m. Professional Services**, meaning the rendering of or failure to render professional services, including negligence or unprofessional conduct committed in the course of rendering of such services.
- n. Real Estate Condition**, meaning a condition on real estate **you** sell, give away, or abandon.
- o. Rental of Premises**, meaning the rental of any part of any premises to others by an **insured**. This exclusion doesn't apply when:
 - (1) The **dwelling** is a two-, three-, or four-family **dwelling** and **you** occupy one part and rent the other part to others;
 - (2) The rental is a **long-term rental**; or
 - (3) The rental is for use of a **building** on the **residence premises** as an office, school, studio or private garage.
- p. Sexual Misconduct**, even if based on a mistaken belief by the person engaging in the conduct that he or she had the right to do so or did not understand what injuries would result.
- q. War**, meaning the following and any direct or indirect consequence of the following:
 - (1) Undeclared war, civil war, insurrection, rebellion or revolution;
 - (2) Warlike act by a military force or military personnel; or
 - (3) Destruction, seizure or use for a military purpose.

Discharge of a nuclear weapon will be deemed a warlike act even if accidental.

2. Coverage E – Personal Liability, does not apply to:

- a. Liability:**
 - (1) For any loss assessment charged against **you** as a member of an association, corporation or community of property owners;
 - (2) Under any contract or agreement. However, this exclusion does not apply to written contracts:
 - (a) That directly relate to the ownership, maintenance or use of an **insured location**; or
 - (b) Where the liability of others is assumed by an **insured** prior to an **occurrence**; unless excluded in (1) above or elsewhere in this policy.
- b. Property damage** to property owned by an **insured**.
- c. Property damage** to property rented to, occupied or used by or in the care of an **insured**. This exclusion does not apply to **property damage** caused by fire, smoke or explosion.

- d. **Bodily injury** or **personal injury** to any person eligible to receive any benefits:
 - (1) Voluntarily provided; or
 - (2) Required to be provided;
 by the **insured** under any:
 - (1) Workers' compensation law;
 - (2) Non-occupational disability law; or
 - (3) Occupational disease law.
 - e. **Bodily injury** or **property damage** for which an **insured** under this policy:
 - (1) Is also an insured under a nuclear energy liability policy; or
 - (2) Would be an insured under that policy but for the exhaustion of its limit of liability.
 - f. **Bodily injury** or **personal injury** to **you** or an **insured** within the meaning of part **a.** or **b.** of **insured** as defined.
 - g. Liability for punitive or exemplary damages, fines or penalties.
 - h. **Personal injury** arising out of or in connection with:
 - (1) Violation of a penal law or ordinance committed by or with the knowledge or consent of an **insured**;
 - (2) Any act committed by or at the direction of an **insured** with the knowledge that the act would violate the rights of another and would inflict **personal injury**;
 - (3) An **insured's** activities in advertising or broadcasting;
 - (4) Any oral, written or electronic publication of material if done by or at the direction of an **insured** with knowledge of its falsity;
 - (5) Any oral, written or electronic publication of material whose first publication took place before the beginning of the policy period;
 - (6) Injury sustained by any person employed by an **insured**;
 - (7) Civic or public activities performed for pay by an **insured**; or
 - (8) Activities performed by or on behalf of an **insured** in connection with campaigning for election or re-election to office.
3. **Coverage F – Medical Payments to Others** does not apply to **bodily injury**:
- a. To a **residence employee** if the **bodily injury** occurs off the **insured location** and doesn't arise out of or in the course of the **residence employee's** employment by an **insured**;
 - b. To any person eligible to receive benefits voluntarily provided or required to be provided under any worker's compensation law, non-occupational disability law or occupational disease law;
 - c. From any nuclear reaction, nuclear radiation or radioactive contamination, whether controlled or uncontrolled and however caused, or any consequence of any of these; or
 - d. To any person, other than a **residence employee** of an **insured**, regularly residing on any part of the **insured location**.

ADDITIONAL COVERAGES

The following Additional Coverages are subject to all exclusions, conditions, limitations and other provisions of this policy, except as described in the applicable Additional Coverage:

- 1. **Claim Expenses.** We will pay:
 - a. Expenses we incur and costs taxed against an **insured** in any suit we defend;

- b. Premiums on bonds required in a suit we defend, but not for bond amounts more than the limit of liability for Coverage **E**. We need not apply for or furnish any bond;
- c. Reasonable expenses incurred by an **insured** at our request, including actual loss of earnings (but not loss of other income) up to \$200 per day, for assisting us in the investigation or defense of a claim or suit; and
- d. Interest on the entire judgment which accrues after entry of the judgment and before we pay or tender, or deposit in court that part of the judgment which does not exceed the limit of liability that applies.

2. Damage to Property of Others. We will pay, at **replacement cost**, up to \$1,000 per **occurrence** for **property damage** to property of others caused by an **insured**.

We will not pay for **property damage**:

- a. To the extent of any amount recoverable under Section **I** of this policy;
- b. Caused intentionally by an **insured** who is 13 years of age or older;
- c. To property owned by an **insured**;
- d. To property owned by or rented to a tenant of an **insured** or a resident in **your** household; or
- e. Arising out of:
 - (1) A **business** engaged in by an **insured**;
 - (2) Any act or omission in connection with a premises owned, rented or controlled by an **insured**, other than the **insured location**; or
 - (3) The ownership, maintenance, or use of **watercraft**, **motor vehicles**, or **aircraft** other than **small aircraft**.

This exclusion (3) does not apply to a **motor vehicle** which is both designed and used exclusively for recreational purposes off public roads, not subject to licensing requirements and not owned by an **insured**.

- 3. First Aid Expenses.** We will pay expenses incurred by an **insured** for first aid to others for **bodily injury** covered under this policy. We will not pay for first aid to **you** or any other **insured**.
- 4. Loss Assessment.** We will pay up to \$1,000 for **your** share of loss assessment charged during the policy period against **you** by a corporation or association of property owners, when the assessment is made as a result of:

- a. **Bodily injury**, **personal injury** or **property damage** not excluded under Section **II** of this policy; or
- b. Liability for an act of a director, officer or trustee in the capacity as a director, officer or trustee, provided:
 - (1) The director, officer or trustee is elected by the members of a corporation or association of property owners; and
 - (2) The director, officer or trustee serves without deriving any income from the exercise of duties which are solely on behalf of a corporation or association of property owners.

This coverage applies only to loss assessments charged against **you** as owner or tenant of the **residence premises**.

We do not cover loss assessments charged against **you** or a corporation or association of property owners by any governmental body.

Regardless of the number of assessments, the limit of \$1,000 is the most we will pay for loss arising out of:

- a. One accident, including continuous or repeated exposure to substantially the same general harmful conditions; or
- b. A covered act of a director, officer or trustee. An act involving more than one director, officer or trustee is considered to be a single act.

The following do not apply to this coverage:

- a. Section II – Liability and Medical Coverages, Exclusions, **2.a.(1)**;
- b. Section I and II – Conditions, the Policy Period condition.

LIMIT OF LIABILITY

Coverage E – Personal Liability

- 1. **Occurrence Limit.** The limit of liability for Coverage **E** as shown in the **Declarations** is the most we'll pay under Coverage **E** for one covered **occurrence** regardless of the number of **insureds**, claims made, persons injured, policies involved, instances alleged or persons making claims.
- 2. **Multiple Policy Periods.** If an **occurrence** causes covered **bodily injury, personal injury** or **property damage** during two or more policy periods, the most we will pay for all policy periods is the highest Coverage **E** Occurrence Limit shown in the **Declarations** for any one of the applicable policy periods.

Coverage F – Medical Payments to Others

- 1. **Per Person Limit.** Our total liability under Coverage **F** for all medical expense payable for covered **bodily injury** to one person as the result of one covered **occurrence** will not be more than the limit of liability for Coverage **F** as shown in the **Declarations**. This Per Person Limit applies regardless of the number of **insureds**, claims made, persons injured, policies involved, instances alleged or persons making claims.
- 2. **Multiple Policy Periods.** If an **occurrence** causes covered **bodily injury** during two or more policy periods, the most we will pay for all policy periods is the highest Coverage **F** Per Person Limit shown in the **Declarations** for any one of the applicable policy periods.

SECTION II – CONDITIONS

- 1. **Bankruptcy of an Insured.** Bankruptcy or insolvency of an **insured** will not relieve us of our obligations under this policy.
- 2. **Duties After Occurrence.** We have no duty to provide coverage or defense under this policy if a failure by any **insured** to comply with any of the following duties is prejudicial to us. In the event of an **occurrence, you** and any other person seeking coverage under this policy must promptly:
 - a. Notify us, or our agent, of how, when, and where the **occurrence** took place;
 - b. Provide us the names and addresses of any known witnesses and injured persons;
 - c. Provide written or recorded statements when requested by us;
 - d. Provide any documents we request;
 - e. Complete examinations under oath, as often as we reasonably require, while not in the presence of any other **insured**, and sign the same;
 - f. Forward to us every notice, demand, summons or other process relating to the **occurrence**;
 - g. Help us make settlement of any claim;
 - h. Help us enforce any right of contribution or indemnity against any person or organization who may be liable to an **insured**;
 - i. Help us secure and give evidence and obtain the attendance of witnesses;
 - j. Help us with the conduct of suits and attend hearings and trials; and

k. Show us and anyone we select the **residence premises**, if still in the **insured's** control.

The **insured** will not, except at the **insured's** own cost, voluntarily make payment, assume obligation or incur expense other than for first aid to others at the time of the **bodily injury**.

3. Duties of an Injured Person – Coverage F – Medical Payments to Others. The injured person or someone acting for the injured person will:

- a.** Give us written proof of claim, under oath if required, as soon as is practical; and
- b.** Authorize us to obtain copies of medical reports and records.

The injured person will submit to a physical exam by a doctor of our choice when and as often as we reasonably require.

4. Other Insurance – Section II Coverages. This insurance is excess over any amounts payable under other valid and collectible insurance, host guarantees, self-insured retention or similar provisions, whether characterized as insurance or not, except for insurance written specifically to cover as excess over the limits of liability that apply in this policy.

5. Payment of Claim – Coverage F – Medical Payments to Others. Payment under this coverage is not an admission of liability by an **insured** or us.

6. Right to Settle. We may settle any claim or suit if we believe it's proper.

7. Severability of Insurance.

This insurance applies separately to each **insured**. This condition will not increase our limit of liability for any one **occurrence**.

8. Suit Against Us. No action can be brought against us unless there has been full compliance with the policy provisions. No one will have the right to join us as a party to any action against an **insured**. No action with respect to Coverage **E** can be brought against us until the obligation of the **insured** has been determined by final judgment or agreement signed by us.

SECTION I AND II – CONDITIONS

1. Assignment. An **insured's** rights or duties under this policy may not be transferred or assigned without our written consent.

2. Cancellation. **You** may cancel this policy by calling, returning this policy to us, or writing by mail, fax, or e-mail to us or to **your** agent or broker to give us notice on or before the date **you** want the cancellation to take effect. The date of cancellation will be the later of the date we receive **your** notice or the date **you** want the cancellation to take effect.

We may cancel this policy only for the reasons stated below by letting **you** know in writing of the date cancellation takes effect. This cancellation notice, together with our reason for cancellation, will be mailed to **you** and, if applicable, **your** agent or broker at the last addresses known to us or shown by our records. Proof of mailing will be sufficient proof of notice. Mailing may be postal mail or mail sent to **you** electronically if we have **your** consent and agreement on file to receive documents from us electronically.

- a. When **you** have not paid the premium, we may cancel at any time by letting **you** know at least 10 days before the date cancellation takes effect. If **your** payment transaction in response to this notice does not successfully complete, the original cancellation date remains in effect.
- b. When this policy has been in effect for less than 60 days and is not a renewal with us, we may cancel for any reason by letting **you** know at least 45 days before the date cancellation takes effect.
- c. When this policy has been in effect for 60 days or more, or at any time if it is a renewal with us, we may cancel:
 - (1) If there has been a material misrepresentation of fact which if known to us would have caused us not to issue the policy; or
 - (2) If the risk has changed substantially since the policy was issued.

This can be done by letting **you** know at least 45 days before the date cancellation takes effect.

- d. When this policy is written for a period of more than one year, we may cancel for any reason at anniversary by letting **you** know at least 45 days before the date cancellation takes effect.

However, with respect to paragraphs **b.**, **c.**, and **d.** above, if two or more of the following conditions exist at any **building** that is covered under this policy, we may cancel this policy by letting **you** and, if applicable, **your** agent or broker know at least 5 days before the date cancellation takes effect. We will also let any mortgagee or other person shown by the policy to have an interest in a Covered Loss know at least 20 days before the date cancellation takes effect.

- (1) Without reasonable explanation, the **building** is unoccupied for more than 60 consecutive days, or at least 65% of the rental units are unoccupied for more than 120 consecutive days unless the **building** is maintained for seasonal occupancy or is under construction or repair;
- (2) Without reasonable explanation, progress toward completion of permanent repairs to the **building** has not occurred within 60 days after receipt of funds following adjustment or adjudication of loss resulting from a fire;
- (3) Because of its physical condition, the **building** is in danger of collapse;
- (4) Because of its physical condition, a vacation or demolition order has been issued for the **building**, or it has been declared unsafe in accordance with applicable law;
- (5) Fixed and salvageable items have been removed from the **building**, indicating an intent to vacate the **building**;
- (6) Without reasonable explanation, heat, water, sewer, and electricity are not furnished for the **building** for 60 consecutive days; or
- (7) The **building** is not maintained in substantial compliance with fire, safety and building codes.

When this policy is canceled, the premium for the period from the date of cancellation to the expiration date will be refunded pro rata. We'll retain any refund less than \$2. If **your** policy is reinstated after cancellation, we may charge a fee for the reinstatement. This policy isn't in force and provides no coverage from the date and time of cancellation to the date and time of reinstatement.

If the return premium is not refunded with the notice of cancellation or when this policy is returned to us, we will refund it as soon as possible, but no later than:

- (1) 45 days after we send a notice of cancellation to **you**; or
- (2) 30 days after we receive the policy or a notice of cancellation from **you**.

Except as noted above if the policy is cancelled by us, we will give the same advance notice of cancellation in writing to any mortgagee or other person shown by the policy to have an interest in a Covered Loss as we give to **you**. The cancellation notice may be delivered or mailed; if mailed, proof of mailing will be sufficient proof of notice.

- 3. Concealment or Fraud.** We don't provide any coverage under this policy when any **insured** has intentionally concealed or misrepresented any material fact or circumstance, made false statements with intent to deceive, or engaged in fraudulent conduct relating to this insurance.

This Condition will not apply to deny an **insured's** otherwise covered claim if the fraud, concealment or misrepresentation is caused by an act of **domestic abuse** by another **insured** under the policy, and the **insured** seeking coverage:

- a.** Files a police report and cooperates with any law enforcement investigation relating to the act of **domestic abuse**; and
- b.** Did not cooperate in or contribute to the fraud, concealment or misrepresentation.

If we make payment under this **domestic abuse** exception for a loss covered by Section **I**, our payment to the **insured** is limited to that **insured's** insurable interest in the property less any payments we first make to a mortgagee or other party with a legal secured interest in the property. In no event will we pay more than the limit of liability.

- 4. Conformity to State Law.** When a policy provision is in conflict with the applicable law of the state in which this policy is issued, the law of the state will apply.

- 5. Death.** If any person named in the **Declarations** or the spouse, or a party who, with the **insured**, has entered into a domestic partnership, recognized under Washington law, if a resident of the same household, dies:

- a.** We insure the legal representative of the deceased but only with respect to the premises and property of the deceased covered under the policy at the time of death;
- b. Insured** includes:
 - (1)** Any member of **your** household who is an **insured** at the time of **your** death, but only while a resident of the **residence premises**; and
 - (2)** With respect to **your** property, the person having proper temporary custody of the property until appointment and qualification of a legal representative.

- 6. Liberalization Clause.** If we make a change which broadens coverage under this edition of our policy without additional premium charge, the change will automatically apply to **your** insurance as of the date we implement the change in **your** state, provided this implementation date falls within 60 days prior to or during the policy period stated in the **Declarations**.

This Liberalization Clause doesn't apply to changes implemented with a general program revision that includes both broader and narrower coverage, whether that general program revision is implemented through introduction of a subsequent edition of this policy or through an amendatory endorsement.

- 7. Nonrenewal of Policy.** We may elect not to renew this policy. We may do so by mailing to **you** and, if applicable, **your** agent or broker at the last addresses known to us or shown by our records, written notice, including our reason for refusing to renew, at least 45 days before the expiration date of this policy. Proof of mailing will be sufficient proof of notice.

- 8. Policy Period.** This policy applies only to loss under Section **I**, **bodily injury, personal injury** or **property damage** in Section **II**, which occur during the policy period shown in the **Declarations**.
- 9. Premium Payments.** If **you** pay less than the full amount due for **your** insurance, **you** may be charged a fee. We may also charge a fee if **your** payment is late, or if **your** bank declines to process **your** check or electronic funds transfer.
- 10. Right to Recalculate Premium.** We calculated the premium for this policy based on statements **you** made and information **you** provided in **your** application for insurance or at reinstatement. We have the right to recalculate the premium, and charge **you** the corrected amount, if we later obtain information which affects the premium we charged.
- 11. Small Changes to Premium.** An additional charge or refund of less than \$2 resulting from policy changes will be applied to the next renewal premium.
- 12. Subrogation.** An **insured** may waive in writing before a loss all rights of recovery against any person. If not waived, we may require an assignment of rights of recovery for a loss to the extent that payment is made by us.
- If an assignment is sought, an **insured** must sign and deliver all related papers and cooperate with us.
- Subrogation does not apply under Section **II** to Medical Payments to Others or Damage to Property of Others.
- If we pay an **insured**, who is a victim of **domestic abuse**, for a loss caused by an act of **domestic abuse**, the rights of that **insured** to recover damages from the perpetrator of the abuse are transferred to us to the extent of our payment. That **insured** may not waive such rights to recover against the perpetrator of the **domestic abuse**.
- We won't exercise our right to recover payment to the extent that doing so would reduce full recovery of loss or damages incurred by an **insured**.
- 13. Waiver or Change of Policy Provisions.** A waiver or change of a provision of this policy must be in writing by us to be valid. Our request for an appraisal or examination will not waive any rights.